



[Weekly Market Commentary](#)

Dear clients,

The ceasefire between Israel and Iran has helped stabilize markets this week, allowing the COIN50 index to recover alongside US stocks. Bitcoin options data shows reduced demand for short-term downside protection, while longer-term options suggest investors want bitcoin exposure without the immediate spot market costs. Implied volatility for short-term contracts has decreased, making selling volatility less attractive. While some uncertainty about future tensions remains, a major escalation like closing the Strait of Hormuz appears unlikely, in our view. Thus, we believe that buying geopolitical dips could remain a viable market strategy for the time being.

Despite the impending July 9 deadline for lifting the pause on reciprocal tariffs (August 12 for China), significant progress on trade deals remains elusive -- notwithstanding an agreement on rare earth shipments with China. Nevertheless, concerns have been largely overlooked by markets as economic data has not reflected these risks. Fed Chair Jerome Powell testified to Congressional committees this week that inflation could still be impacted by tariffs later this summer, but we think rate cuts remain in play for the second half of the year regardless. Goods only represent about 20-25% of the core CPI basket, and it's still not clear whether businesses will fully pass on the costs of tariffs to consumers.

Finally, Polymarket, a decentralized prediction market, recently sought a \$1B valuation with a Founders Fund-led raise, while its rival Kalshi announced a \$185M round at a \$2B valuation. Together, these deals suggest that venture capital's focus this week was on distribution moats (consumer-focused apps) over liquidity moats (token chains & DEXs), with real-time event markets leading the charge. Polymarket has achieved over \$14B in lifetime trading volume, with robust daily trader numbers despite US regulatory restrictions. Momentum is likely to accelerate further with a new content partnership with X, positioning prediction markets as viral social content rather than purely financial tools.

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